

BUSINESS MODEL INNOVATION WORKSHOP

FourWeekMBA BizSchool

- HISTORIC CONTEXT
- A NEW PARADIGM
- THE EVOLUTION OF THE CONCEPT
- DEBUNKING SOME MYTHS
- WHAT'S REALLY A BUSINESS MODEL
- UNDERSTANDING MARKET TYPES
- TOOLS AND FRAMEWORKS
- CASE STUDIES
- WHAT'S NEXT

HISTORIC CONTEXT

How Competitive Forces Shape Strategy

by Michael E. Porter

FROM THE MARCH 1979 ISSUE

Save Share Comment 5 Text Size Print



The state of competition in an industry depends on five basic forces M. Porter in 1979.

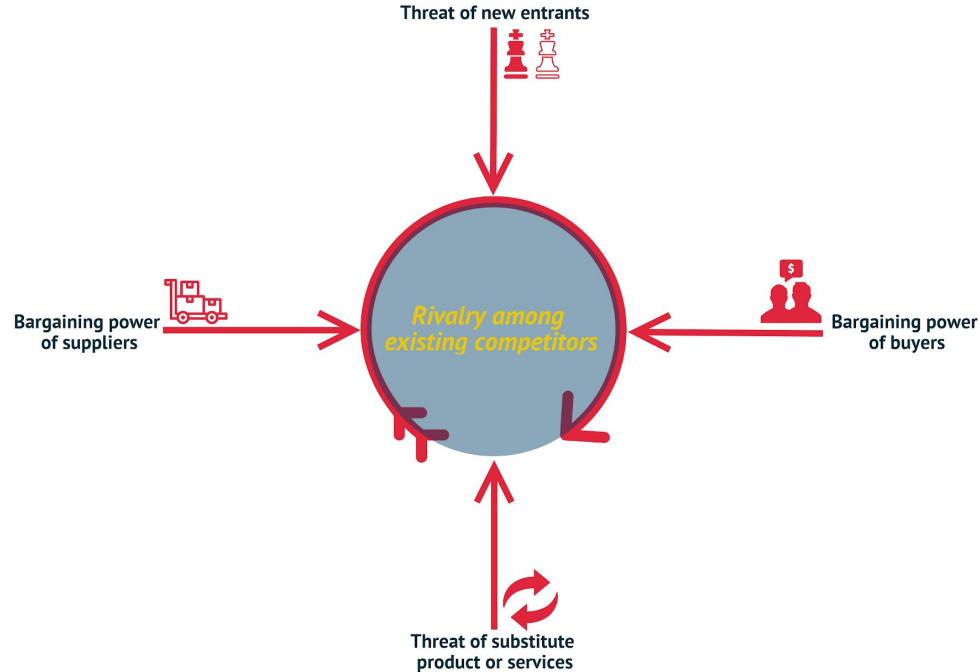
Source: hbr.org/1979/03/how-competitive-forces-shape-strategy



The state of competition in an industry **depends on five basic forces...** The collective strength of **these forces determines the ultimate profit potential of an industry.** It ranges from **intense** in industries like tires, metal cans, and steel, where no company earns spectacular returns on investment, **to mild** in industries like oil field services and equipment, soft drinks, and toiletries, where there is room for quite high returns.

Porter's Five Forces Model

Porter's Five Forces is a model that helps organizations to gain a better understanding of their industries and competition. Published for the first time by Professor Michael Porter in his book "Competitive Strategy" in the 1980s. The model breaks down industries and markets by analyzing them through five forces: competition in the industry (at the center); potential of new entrants into the industry; power of suppliers; power of customers; and threat of substitute products.





4,283,860,179

Internet Users in the world



1,701,107,315

Total number of Websites



146,541,057,700

Emails sent [today](#)



3,794,273,112

Google searches [today](#)



3,609,056

Blog posts written [today](#)



428,777,573

Tweets sent [today](#)



3,984,038,864

Videos viewed [today](#)
on YouTube



46,394,035

Photos uploaded [today](#)
on Instagram

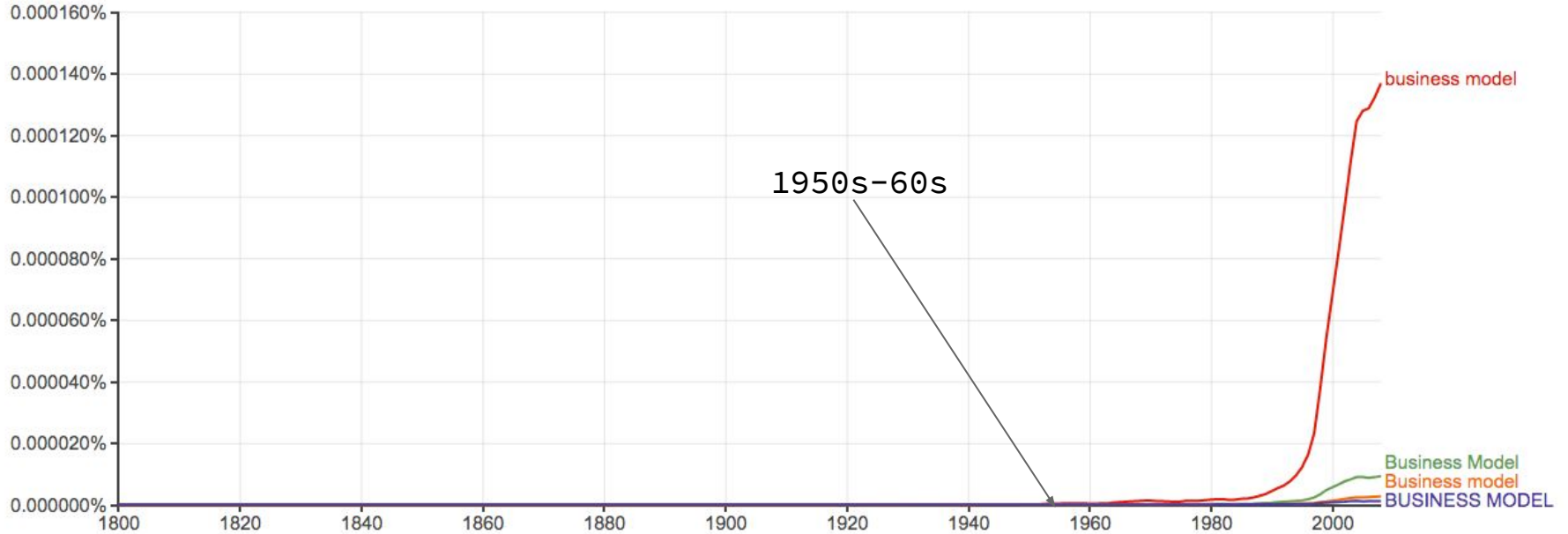


77,912,756

Tumblr posts [today](#)



"BUSINESS MODEL" ACCORDING TO GOOGLE NGRAM



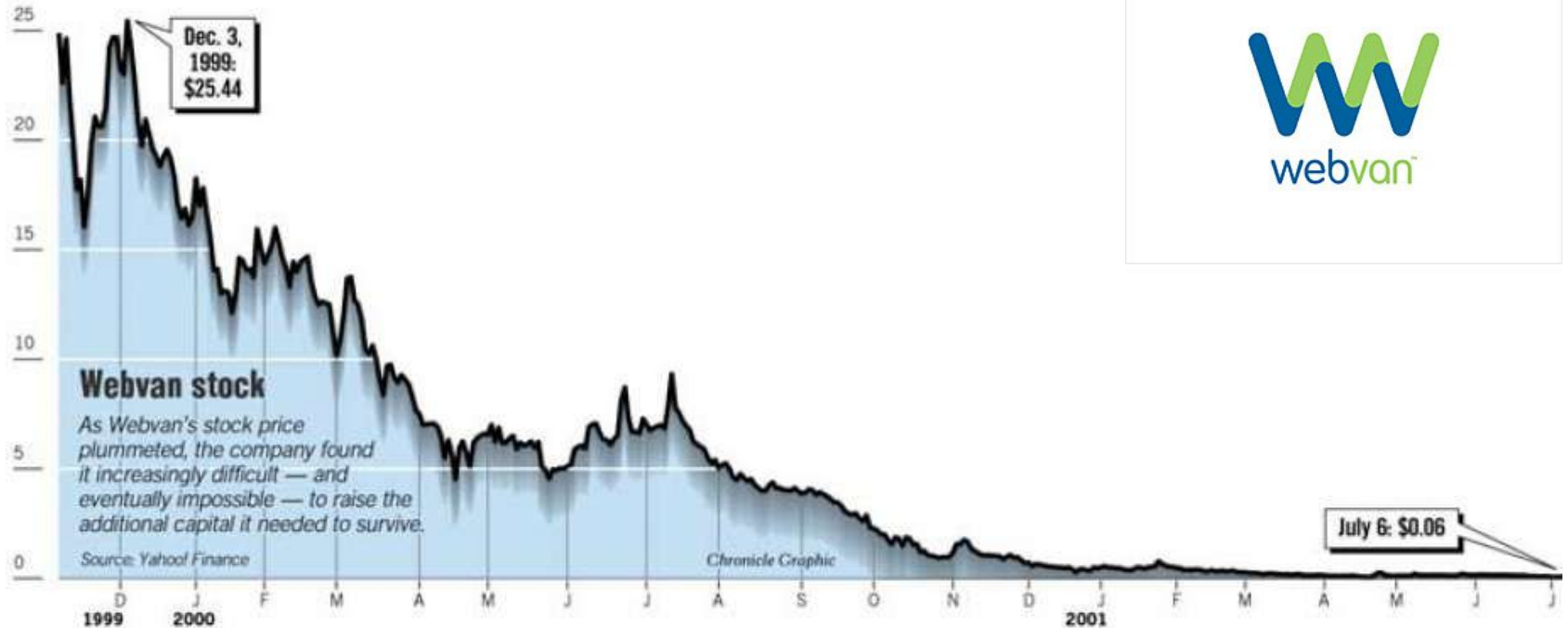
Source: Google Book Ngram Viewer

The Rise and Fall

The Nasdaq Composite Index, daily close



WEBVAN: HOW TO BURN ALMOST A BILLION



A NEW PARADIGM

Amazon Flywheel

Amazon Virtuous Cycle Model





We are guided by four principles: **customer obsession rather than competitor focus, passion for invention, commitment to operational excellence, and long-term thinking.** In each of our segments, we serve our primary customer sets, consisting of consumers, sellers, developers, enterprises, and content creators. In addition, we provide services, such as advertising.

● **Lean startup**
Topic

● **Business Model Canvas**
Topic

+ Add comparison

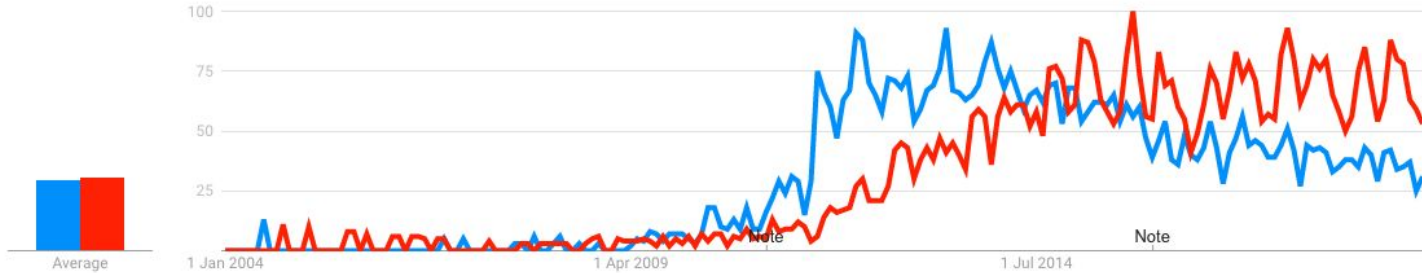
United States ▼

2004 - present ▼

All categories ▼

Web Search ▼

Interest over time ⓘ



SPECIAL REPORT: THE DARK ARTS

Companies

The rise of the superstars

A small group of giant companies—some old, some new—are once again dominating the global economy, says Adrian Wooldridge. Is that a good or a bad thing?

A small group of giant companies—some old, some new—are once again dominating the global economy, The Economist, 2016.

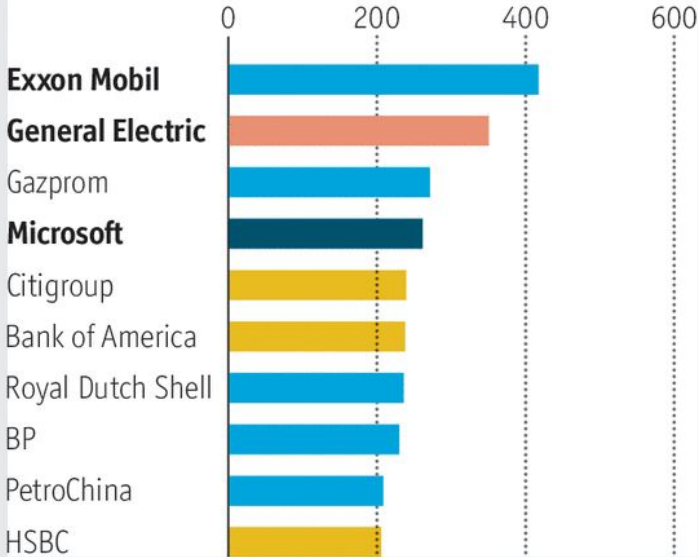
Source: economist.com/special-report/2016/09/15/the-rise-of-the-superstars

A virtually new world

World, largest listed companies by market capitalisation, \$bn

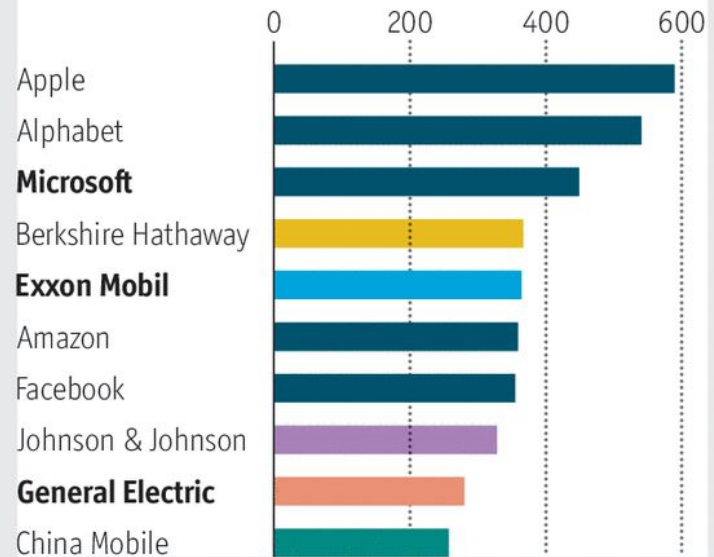
Sector: ■ Energy ■ Financials ■ Health care ■ Industrials ■ IT ■ Telecoms

End 2006



Source: Bloomberg

2016*



*At August 24th 2016

THE EVOLUTION OF THE CONCEPT

In fact, some companies are getting so adept at organizing and reorganizing the value chain to satisfy microsegments of customers (think of Sony) that it is becoming difficult to think of them in any particular industry. Still, there is no universal competitive landscape, no universal source of competitive advantage, no universally “critical” asset. Look again at the authors’ examples. The French water utilities thrive because they have mastered the peculiarly French system of political economy; the Danish pharmacies have evolved a strategy that is powerful in Denmark but would have no corresponding retail infrastructure in America; and IKEA has performed well with a not-terribly-original business model that, in less skillful hands, may well have failed. (If relationships with suppliers and partners prove lopsided, they will collapse. In IKEA’s case, Eastern European furniture makers brought low labor costs and a willingness to learn about quality, while IKEA brought shelf space, knowledge of the market, and a willingness to *teach* quality. How many constellations of value embody such neatly reciprocal relations?)

“There is no universal competitive landscape, no universal source of competitive advantage, no universally ‘critical’ asset.” —Robert Lurie

Source: hbr.org/1993/09/strategy-and-the-art-of-reinventing-value

Business Modeling As Competitive Advantage,

HBR 1993.

VALUE CREATION IN E-BUSINESS

RAPHAEL AMIT^{1*} and CHRISTOPH ZOTT²

¹The Wharton School, University of Pennsylvania, Philadelphia, Pennsylvania, U.S.A.

²INSEAD, Fontainebleau Cedex, France

We explore the theoretical foundations of value creation in e-business by examining how 59 American and European e-businesses that have recently become publicly traded corporations create value. We observe that in e-business new value can be created by the ways in which transactions are enabled. Grounded in the rich data obtained from case study analyses and in the received theory in entrepreneurship and strategic management, we develop a model of the sources of value creation. The model suggests that the value creation potential of e-businesses hinges on four interdependent dimensions, namely: efficiency, complementarities, lock-in, and novelty. Our findings suggest that no single entrepreneurship or strategic management theory can fully explain the value creation potential of e-business. Rather, an integration of the received theoretical perspectives on value creation is needed. To enable such an integration, we offer the business model construct as a unit of analysis for future research on value creation in e-business. A business model depicts the design of transaction content, structure, and governance so as to create value through the exploitation of business opportunities. We propose that a firm's business model is an important locus of innovation and a crucial source of value creation for the firm and its suppliers, partners, and customers. Copyright © 2001 John Wiley & Sons, Ltd.

A business model depicts the content, structure, and governance of transactions designed so as to create value through the exploitation of business opportunities, Amit and Zott, 2001.

THE PMARCA GUIDE TO STARTUPS

Part 4: The only thing that matters

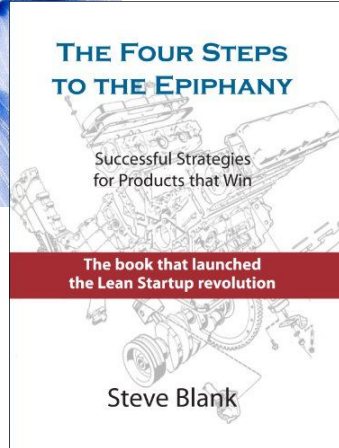
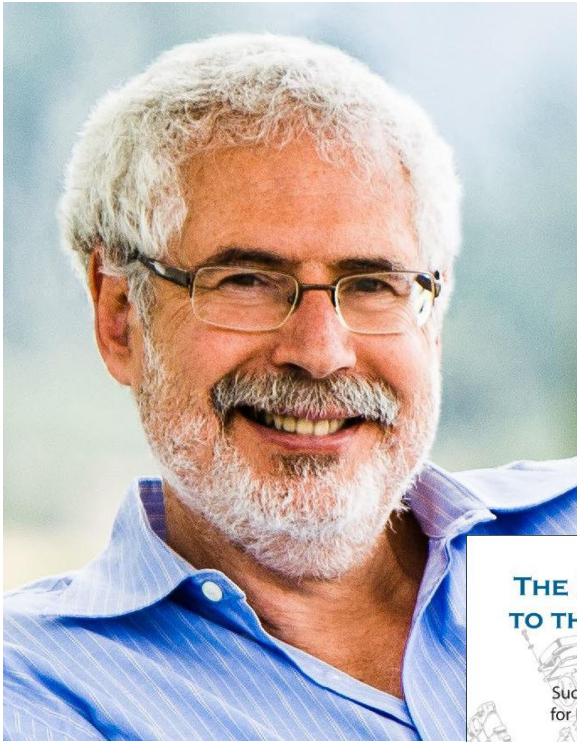
Jun 25, 2007



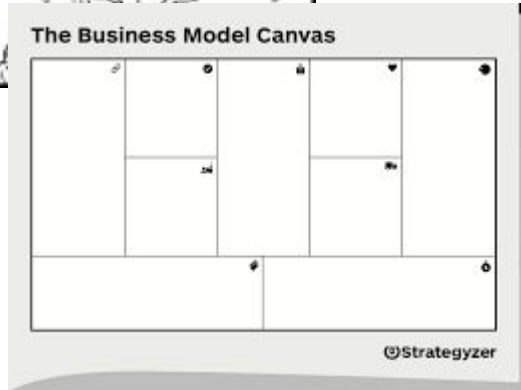
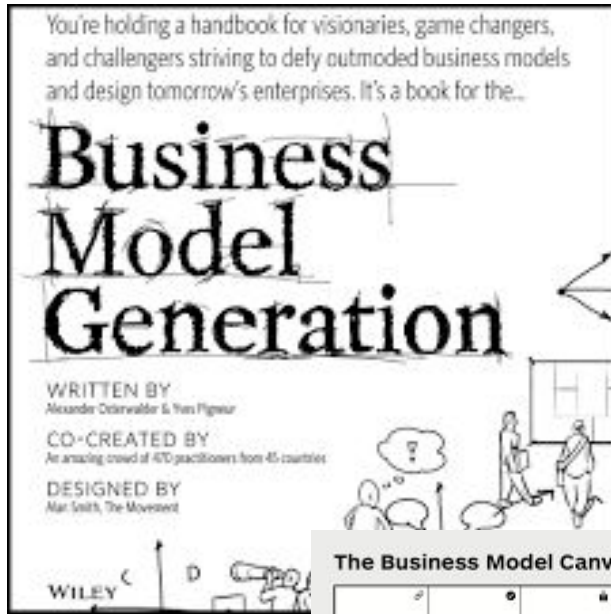
The only thing that matters is product/market fit, by Marc Andreessen, a16z, Venture Capital Firm.



The **customers** are buying the product just as fast as you can **make it** -- or usage is growing just as fast as you can add more servers. **Money from customers is piling up in your company checking account.** You're hiring sales and customer support staff as fast as you can. Reporters are calling because they've heard about your hot new thing and they want to talk to you **about it.** You start getting entrepreneur of the year awards from Harvard Business School. Investment bankers are staking out your house. You could eat free for a year at Buck's.



A Lean Startup favors experimentation over elaborate planning, customer feedback over intuition, and iterative design over traditional “big design up front” development, Steve Blank, 2013.



A business model describes the rationale of how an organization creates, delivers, and captures value, Alexander Osterwalder & Yves Pigneur (2010)



I believe business model
innovation is more
disruptive than technical
innovation, **Fred
Wilson**, July 2019, AVC.

DEBUNKING SOME MYTHS



A Business Model Is Not A Business Plan.



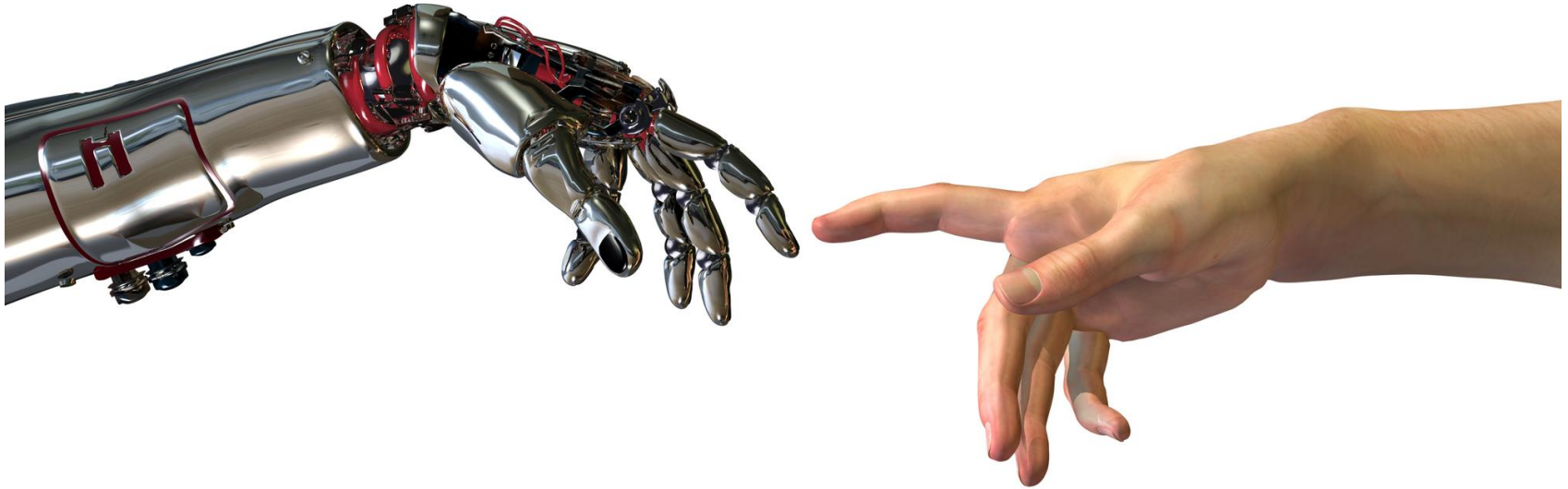
Marketing Plan



In a marketing plan you structure how you make your clients or potential customers perceive you. It's not a business model.



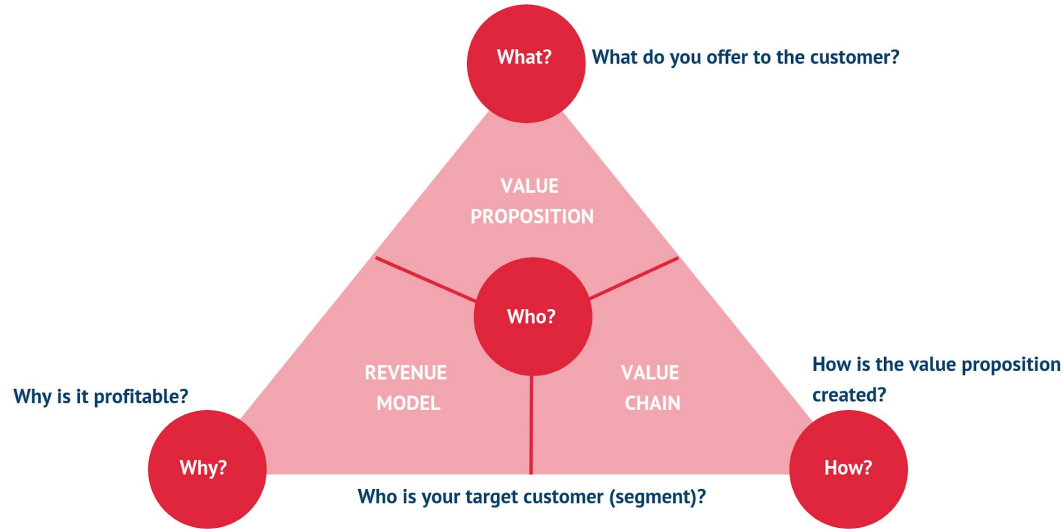
How you make money is part of your revenue generation strategy, which is a building block of a business model, but that is not a business model.



Technological innovation is not business model innovation. Technological innovation might help building up an innovative business model but a business model starts from problem-solution fit.

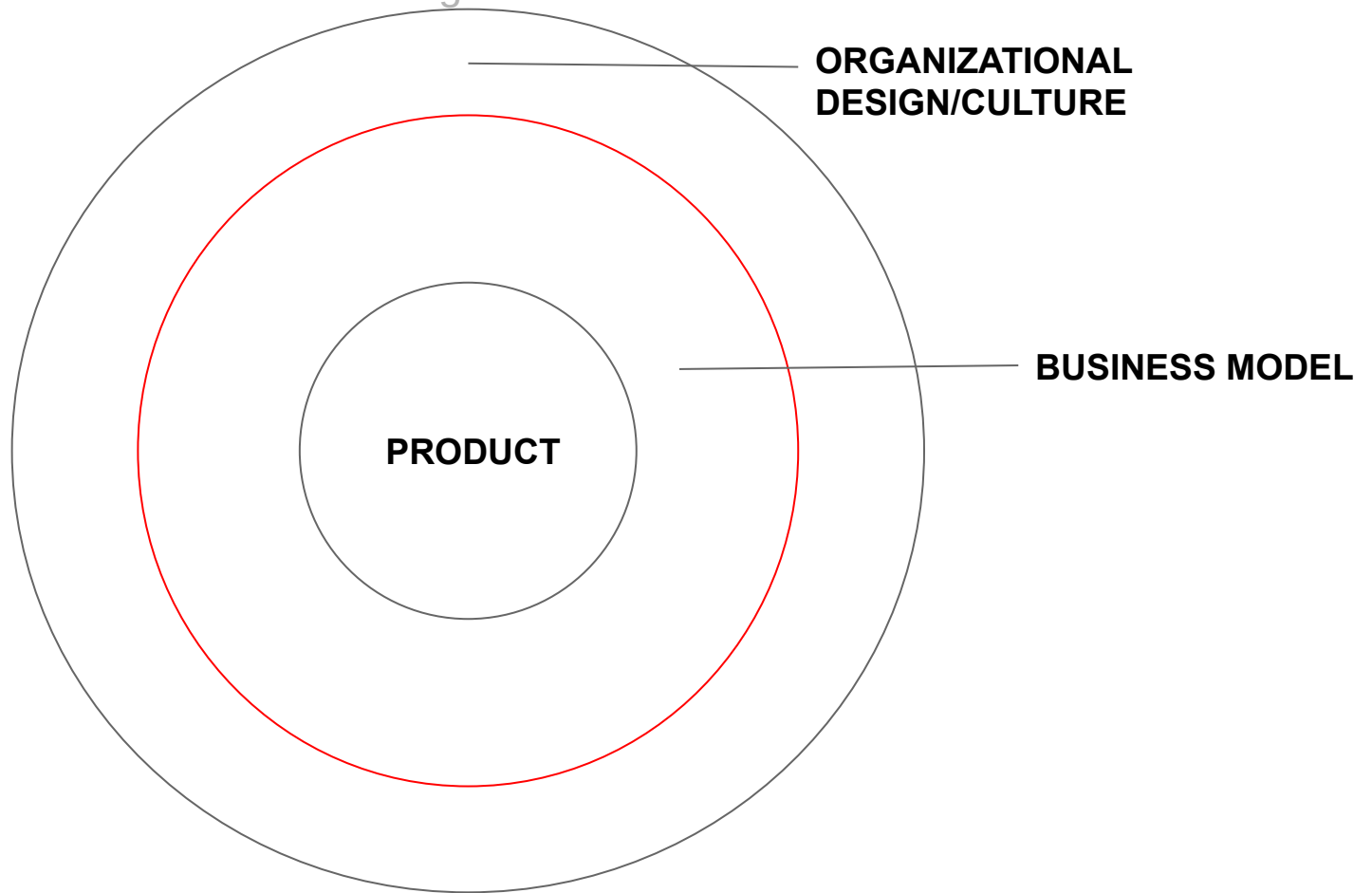
WHAT'S REALLY A BUSINESS MODEL?

A business model is an holistic, repeatable and scalable way to create and capture value.

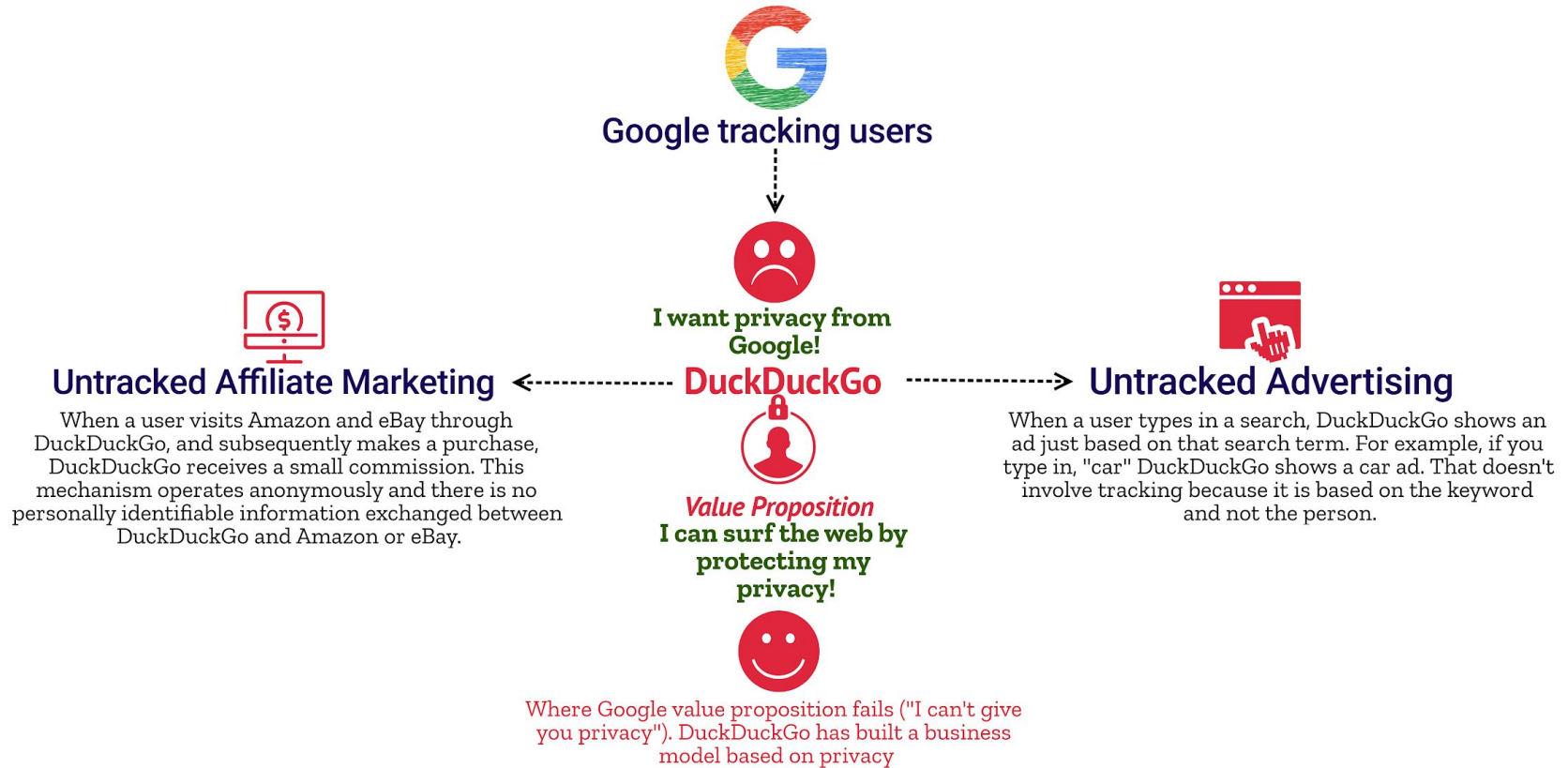


Where scientists use labs to test their hypotheses through experimentation. Entrepreneurs build business model experiments to test their businesses ideas in the real world.











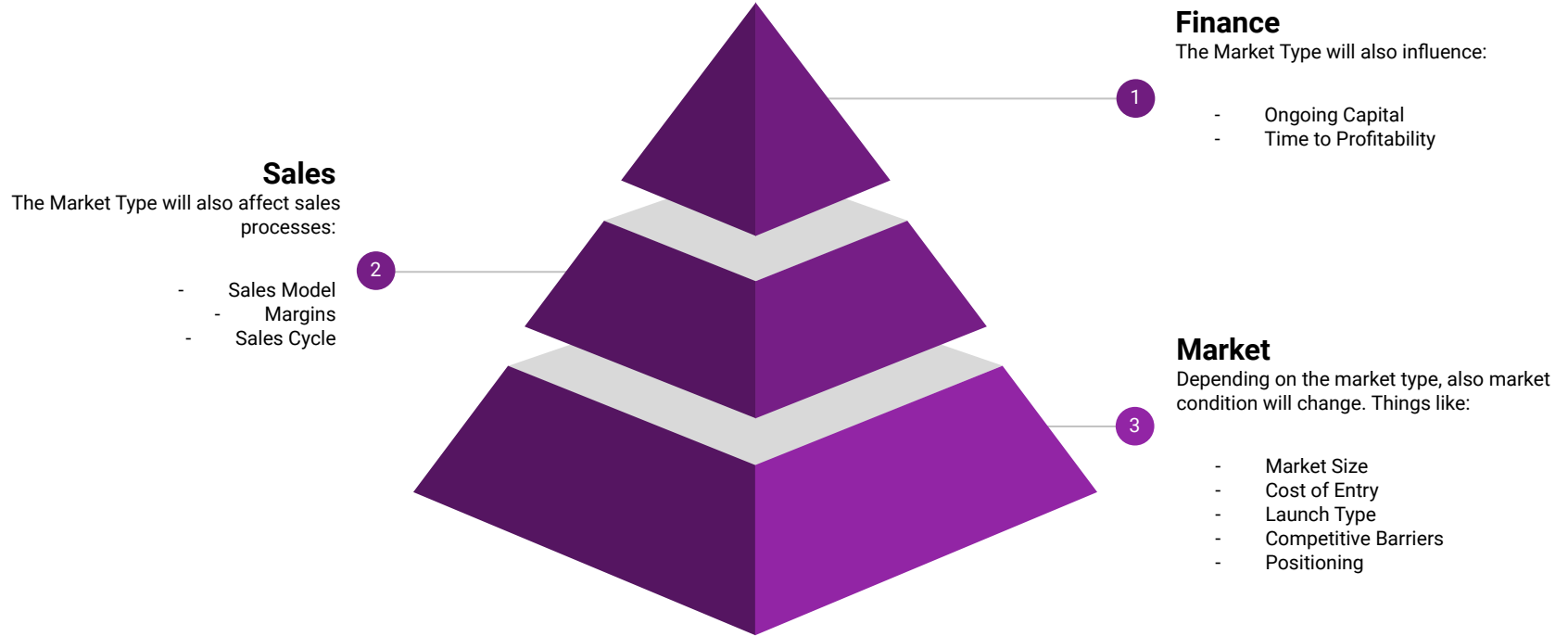
- *Does not see the opportunity*
- *It can't see it*
- *It doesn't not align with its business model*

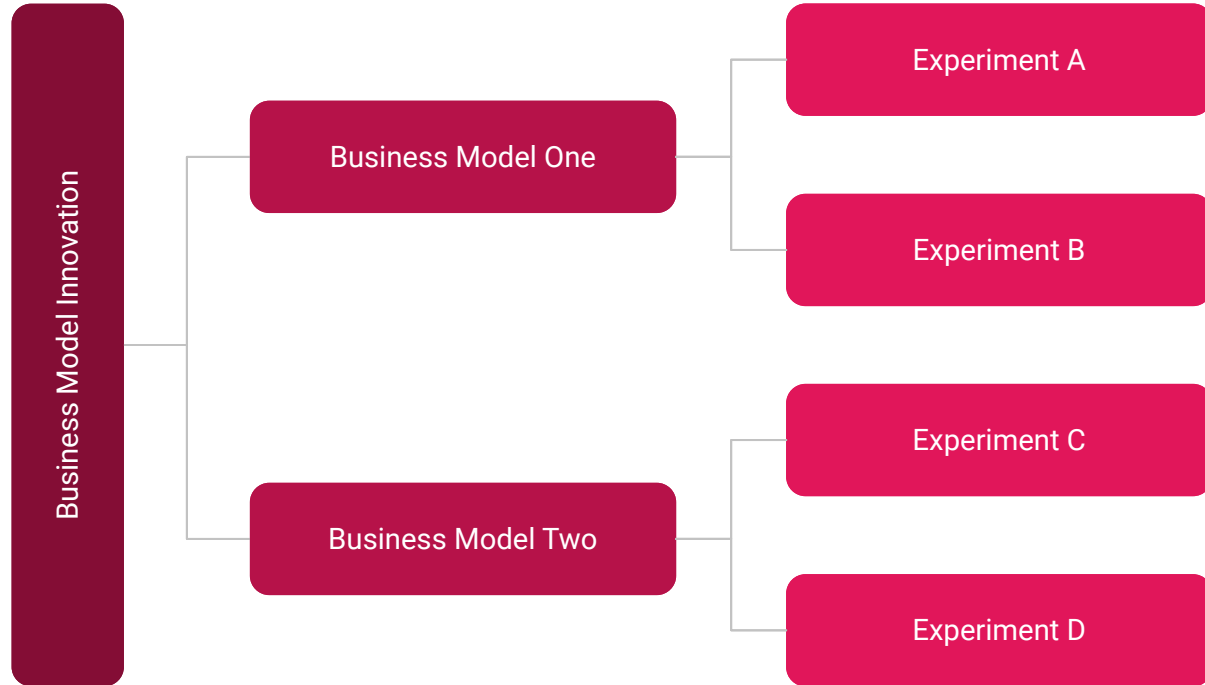
UNDERSTANDING THE MARKET TYPE

THE FOUR TYPES OF START-UPS / BASED ON MARKET TYPES



WHY DOES IT MATTER TO UNDERSTAND THE MARKET?





TOOLS, AND FRAMEWORKS

Blitzscaling Business Model Innovation Canvas

Market size

How large is the market you're targeting when Blitzscaling? Is it really reachable?

Distribution

Are there existing networks you can leverage on? What viral loops can you create to spread your product/service quickly and at scale?

The 4 Key Growth Factors

High gross margins

When you grow your revenues do you generate larger amounts of cash available to finance growth?

Network effects

Is each additional user joining in bringing a positive effect to the whole platform?

Lack of product/market fit

Is the market satisfied with your product/service? If not what's missing?

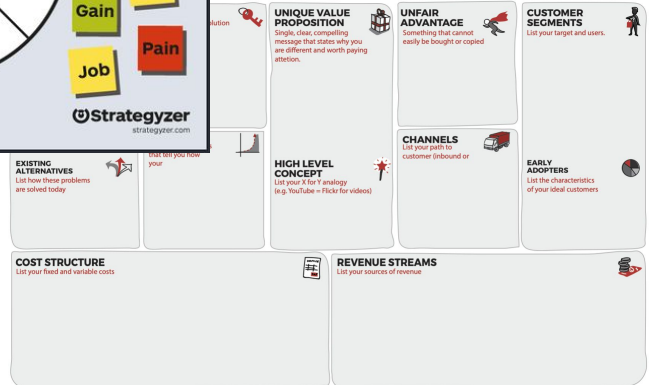
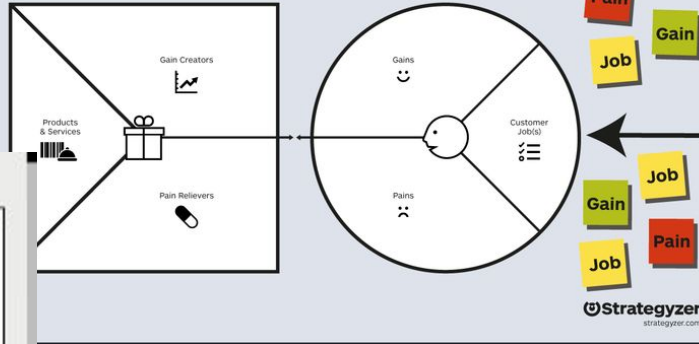
The 2 Key Growth Limiters

The Business Model Canvas



Strategyzer

Customer Insights



Lean Canvas is adapted from The Business Model Canvas and is licensed under the Creative Commons Attribution-Share Alike 3.0 Unported License.

LEAN CANVAS

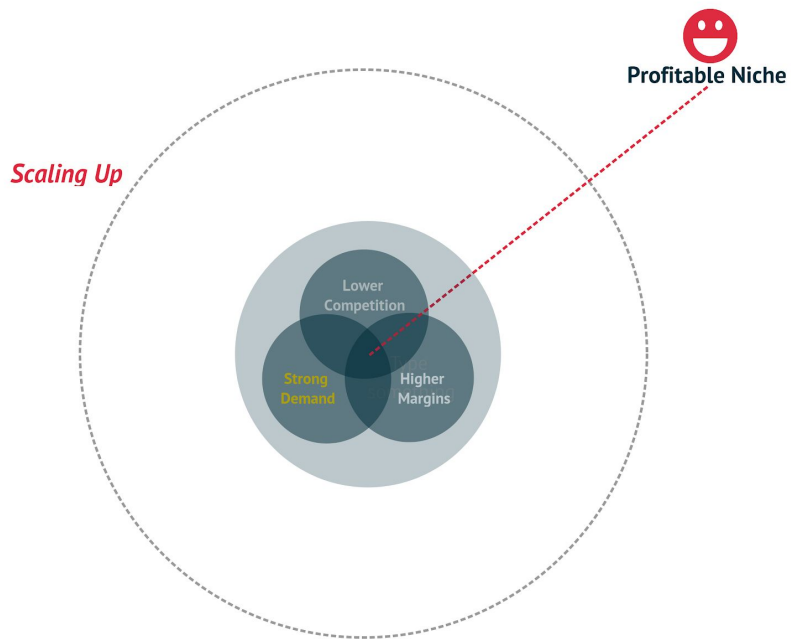
The Bud Caddell Diagram

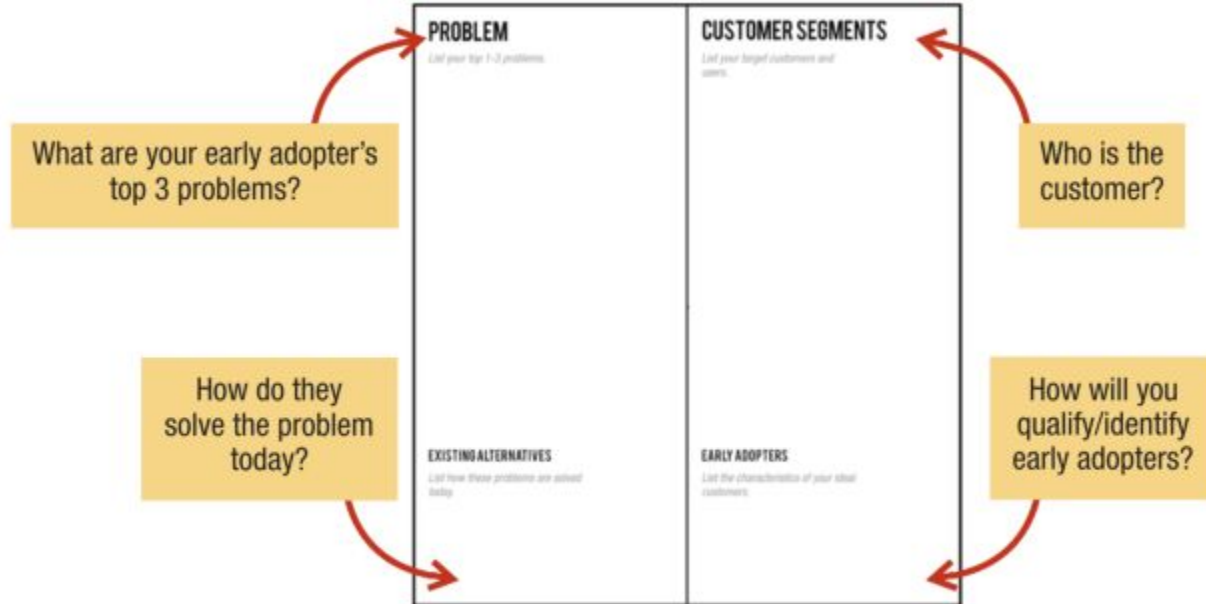
The Bud Caddell diagram helps you cut through the noise of understanding whether a business idea has the potential for you. It enables you to assess if you want to deal with a problem, if you can do it well and if people are willing to pay you for that. Based on a few key questions, you can understand if you're ready to launch a successful business in the long run.



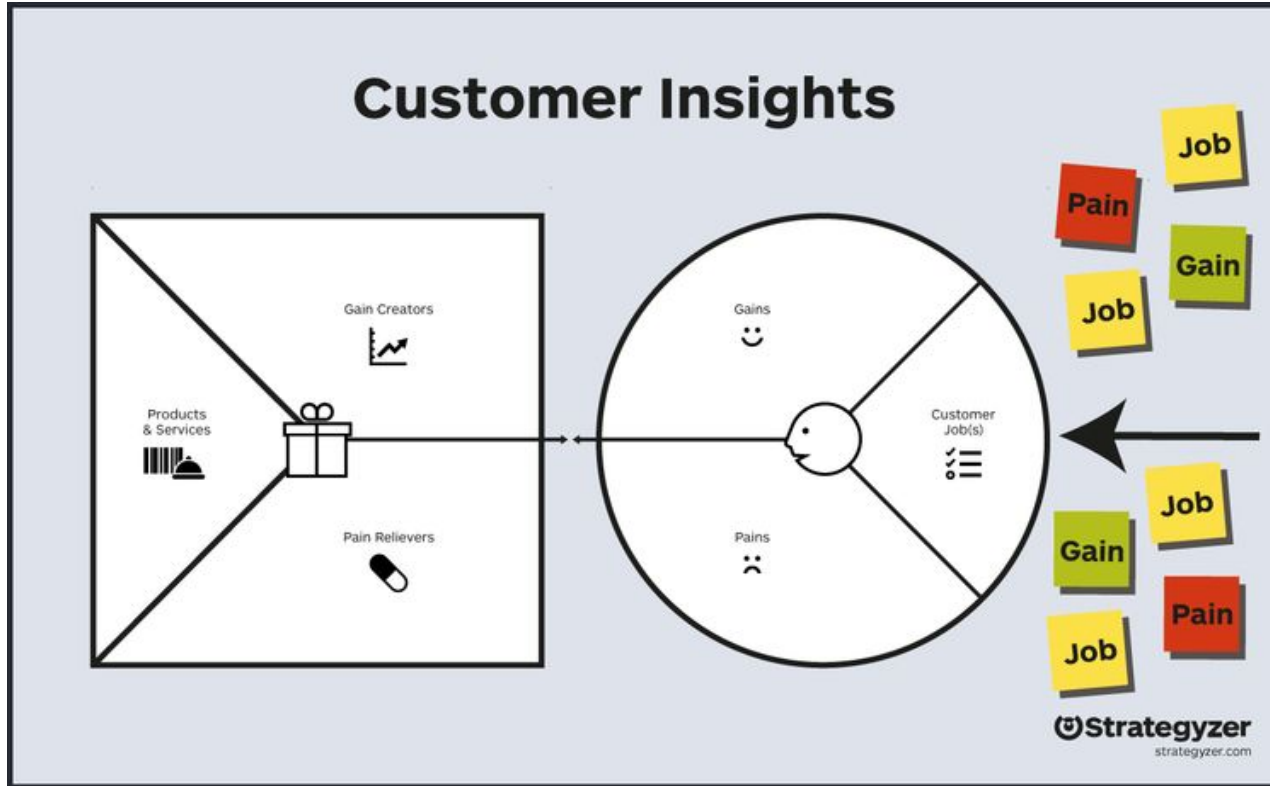
Niche Marketing Strategy To Scale

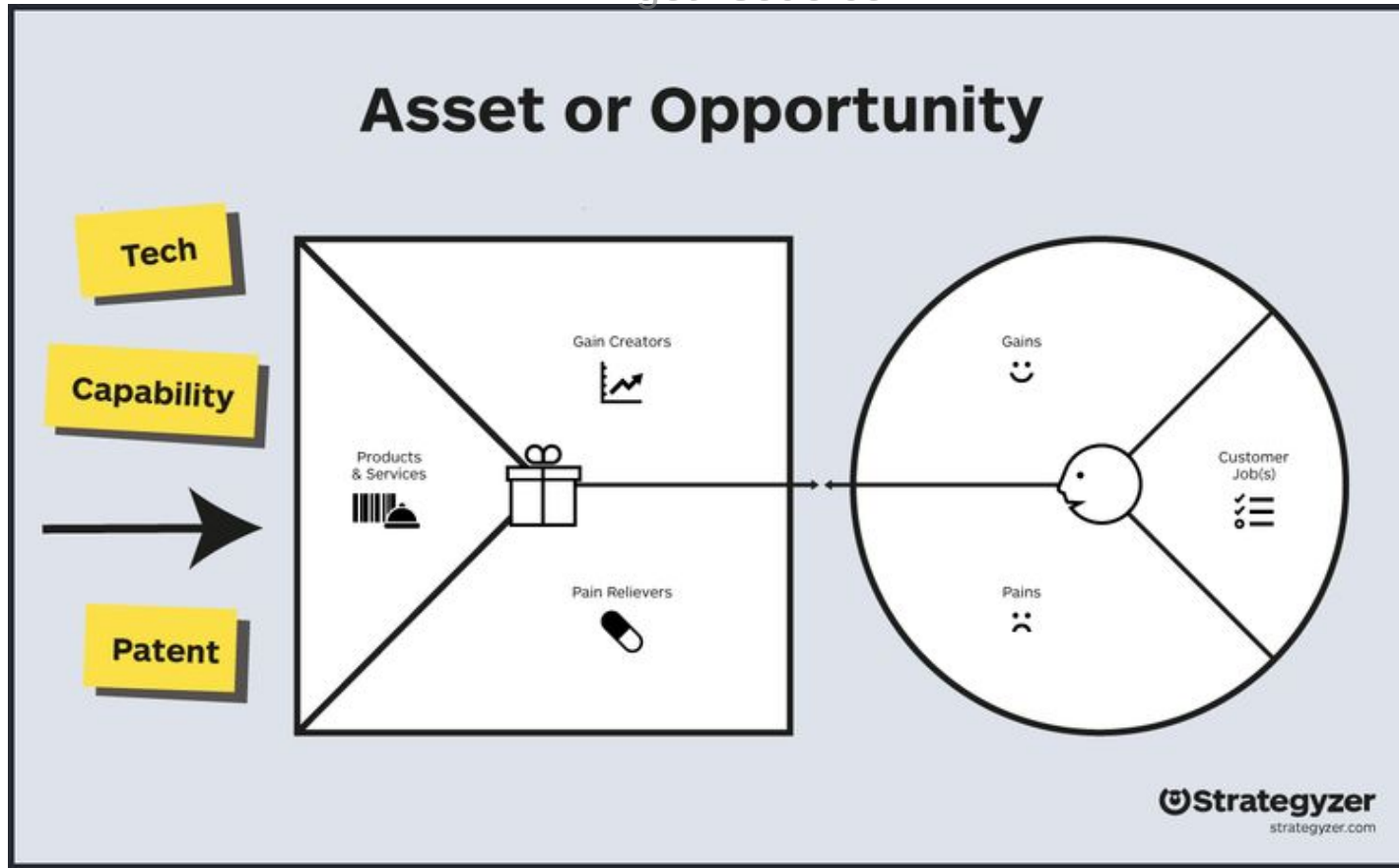
A niche marketing strategy looks at a subset of a market to build a business in order to reach an audience where there is lower competition, a strong demand and higher margins. In addition, a niche market enables to build an intimate relationship with that segment where larger brands can't.





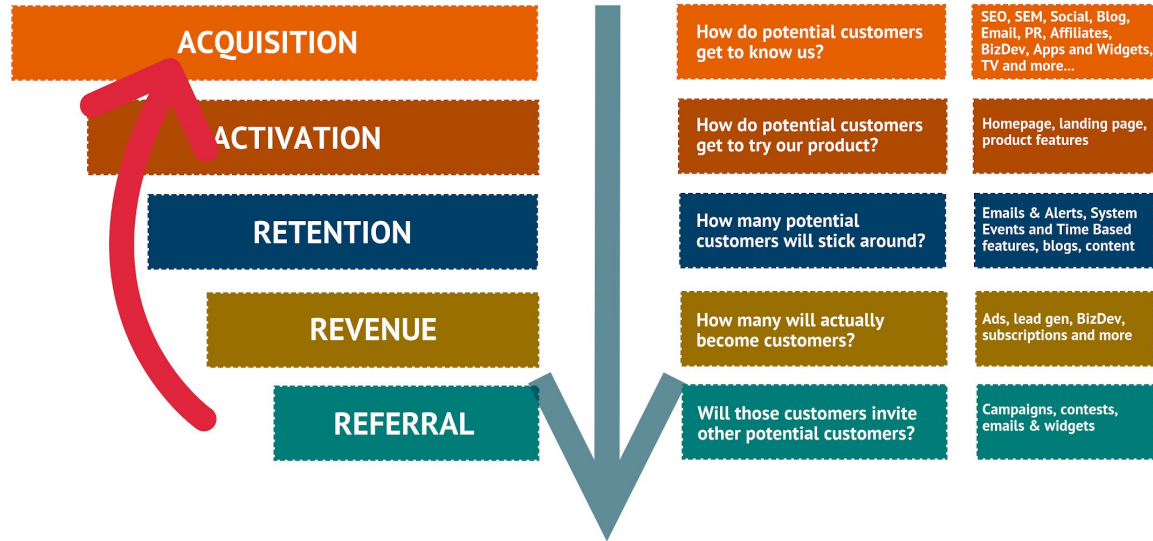
PROBLEM List your customers' top 3 problems 2	SOLUTION Outline possible solution for each problem 4	UNIQUE VALUE PROPOSITION Single, clear, compelling message that turns an unaware visitor into an interested prospect 3	UNFAIR ADVANTAGE Something that can't be easily copied or bought 9	CUSTOMER SEGMENTS List your target customers and users 1
EXISTING ALTERNATIVES List how these problems are solved today	KEY METRICS List key numbers telling how your business is doing today 8		HIGH-LEVEL CONCEPT List your X for Y analogy (e.g., YouTube = Flickr for videos)	CHANNELS List your path to customers
COST STRUCTURE List your fixed and variable costs 7			REVENUE STREAMS List your sources of revenue 6	





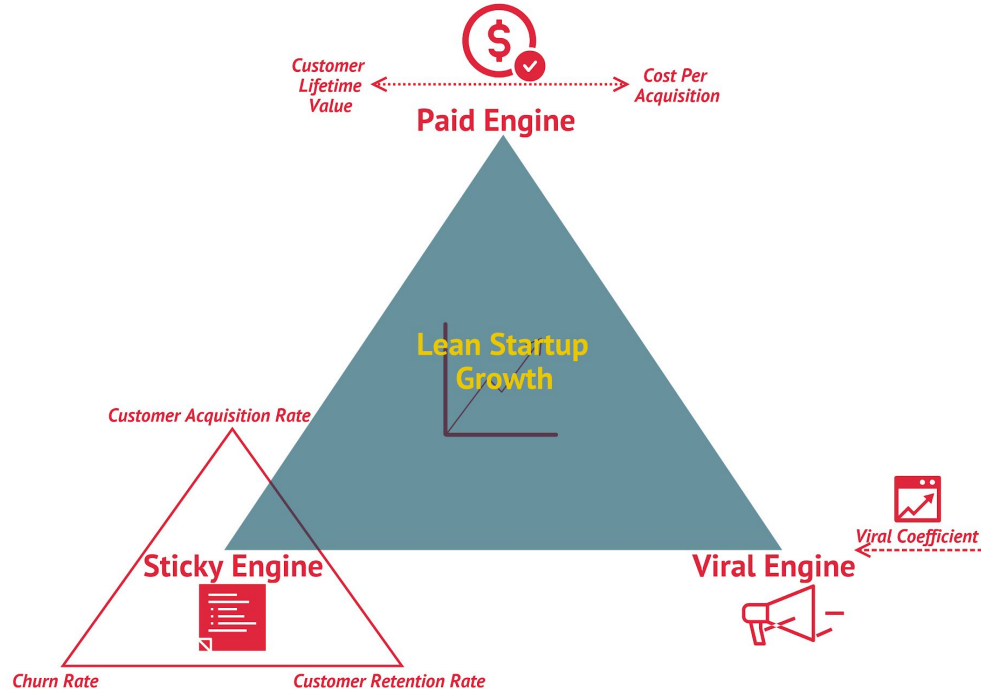
Dave McClure's Pirate Metrics: AARRR Funnel In A Nutshell

Venture capitalist, Dave McClure, coined the acronym AARRR which is a simplified model that enables to understand what metrics and channels to look at, at each stage for the users' path toward becoming customers and referrers of a brand.



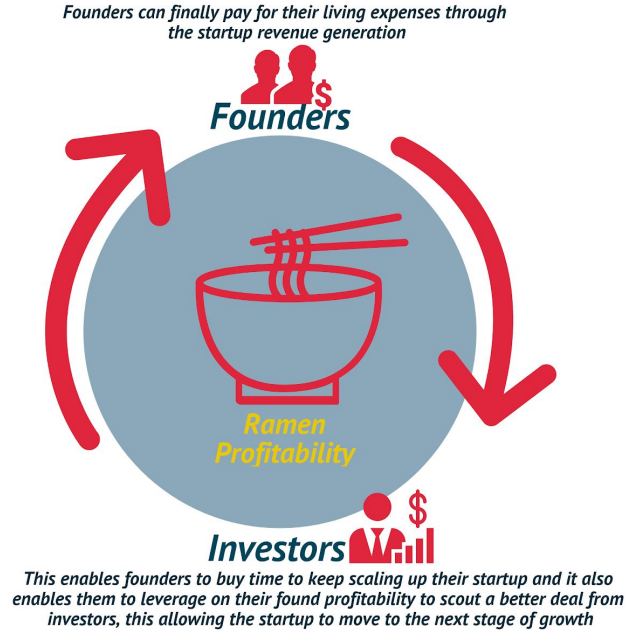
Eric Ries' Three Engines Of Growth

In the Lean Startup, Eric Ries defined the engine of growth as "the mechanism that startups use to achieve sustainable growth." He described sustainable growth as following a simple rule, "new customers come from the actions of past customers." The three engines of growth are the sticky engine, the viral engine, and the paid engine. Each of those can be measured and tracked by a few key metrics.



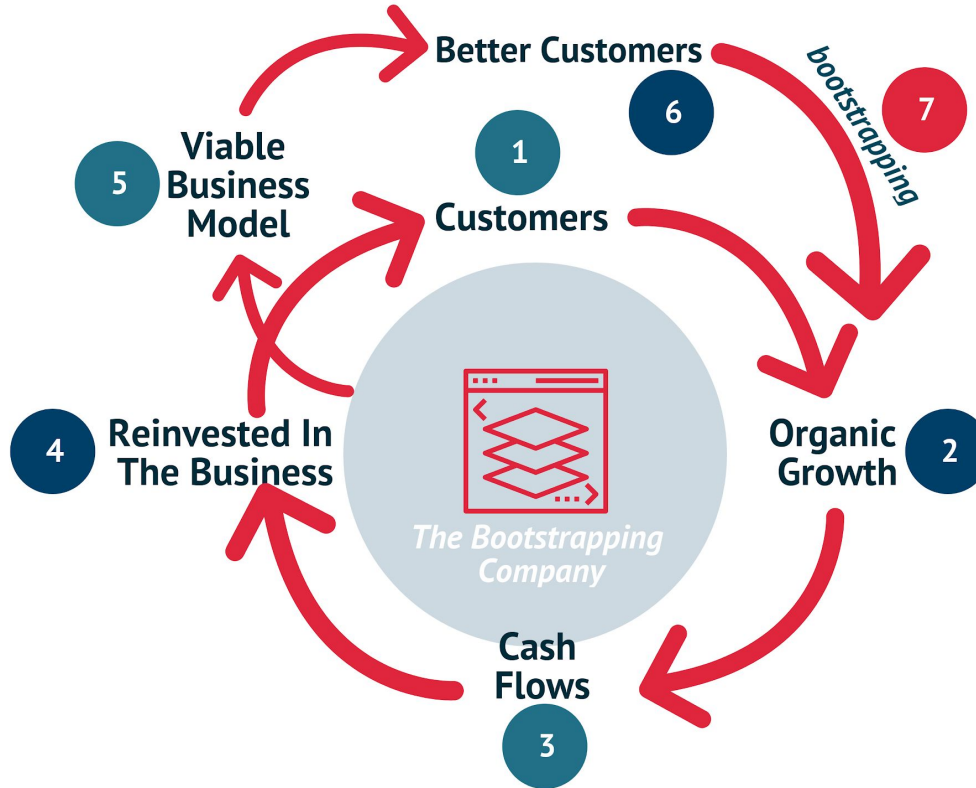
What is Ramen Profitability?

Serial entrepreneur and venture capitalist Paul Graham popularized the term "Ramen Profitability." As he pointed out "Ramen profitable means a startup makes just enough to pay the founders' living expenses. This is a different form of profitability than startups have traditionally aimed for. Traditional profitability means a big bet is finally paying off, whereas the main importance of ramen profitability is that it buys you time."

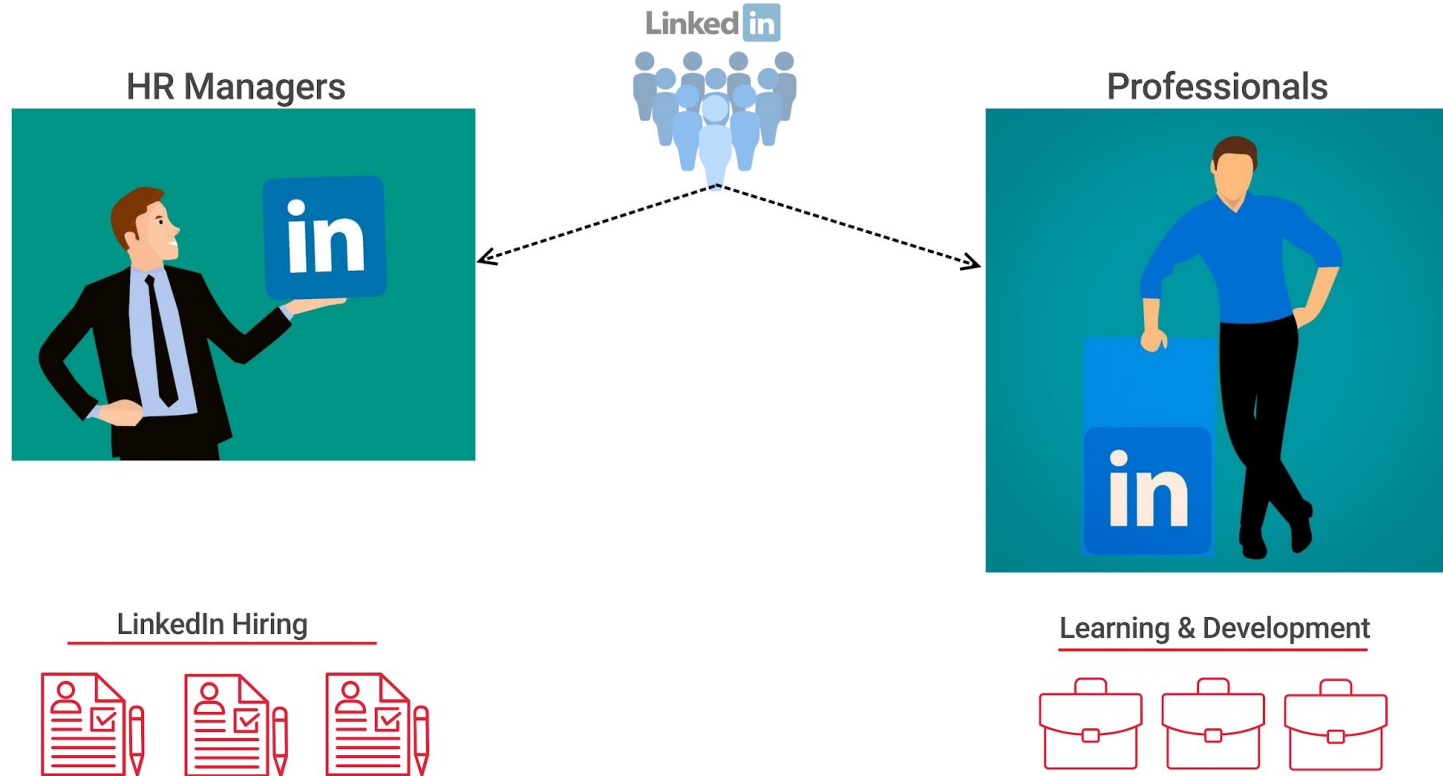


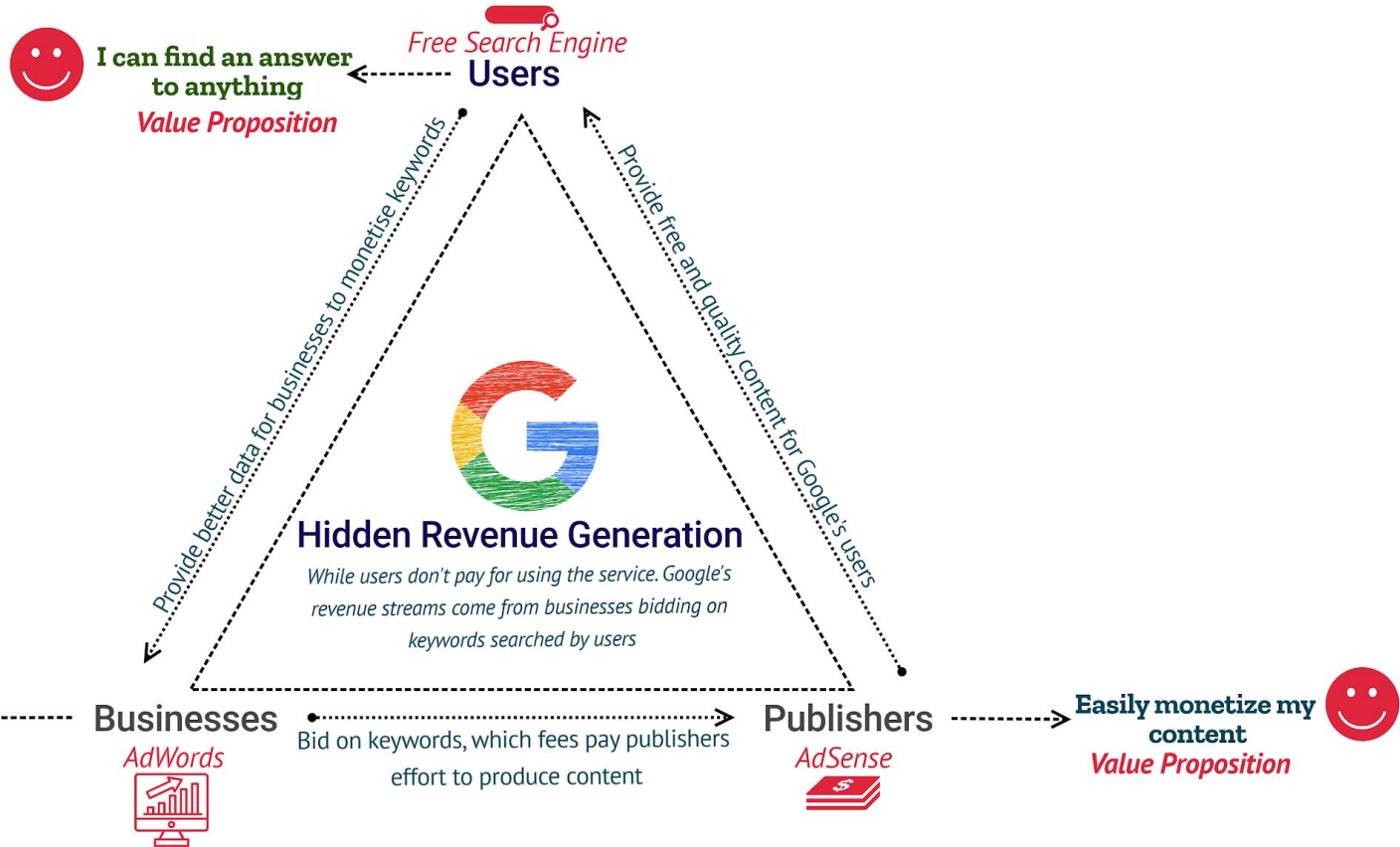
What Is Bootstrapping in Business?

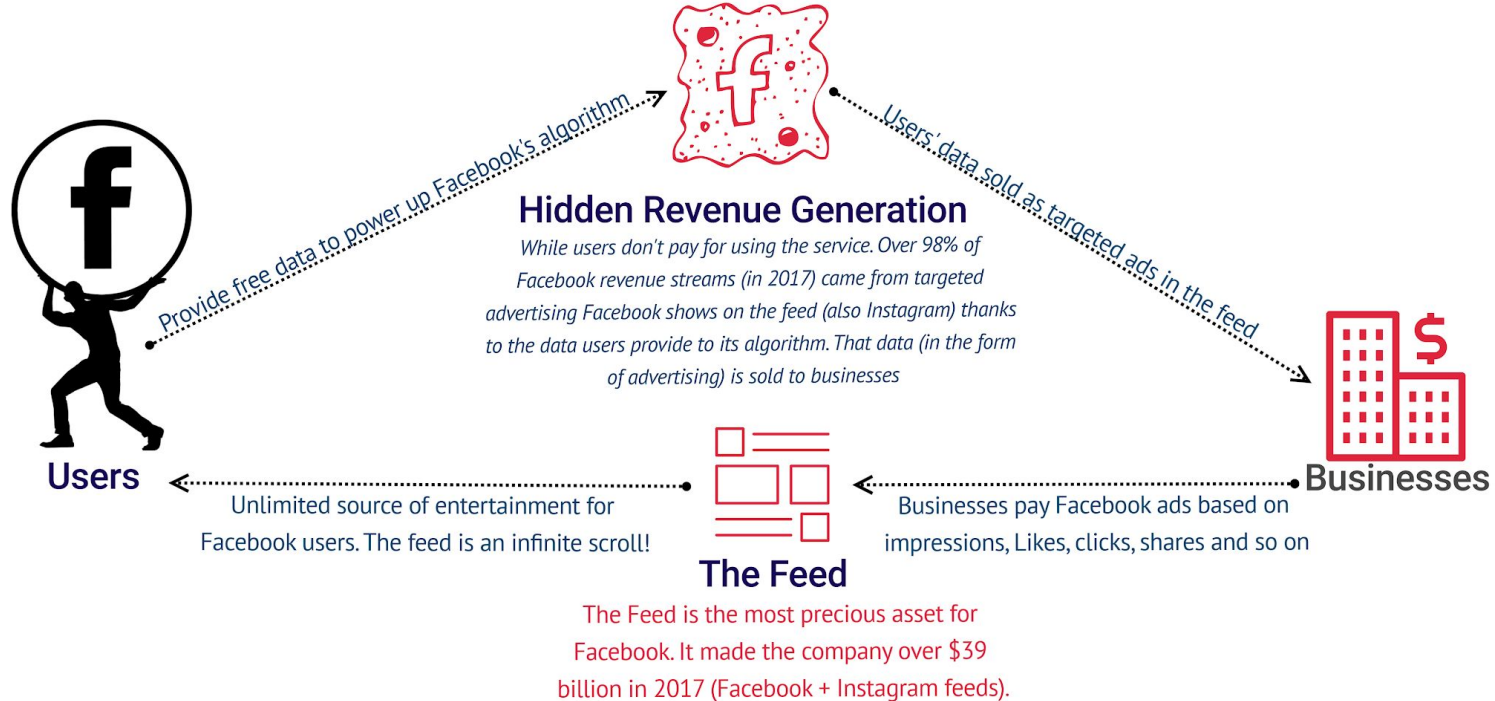
The general concept of Bootstrapping connects to "a self-starting process that is supposed to proceed without external input." In business, Bootstrapping means financing the growth of the company from the available cash flows produced by a viable business model.

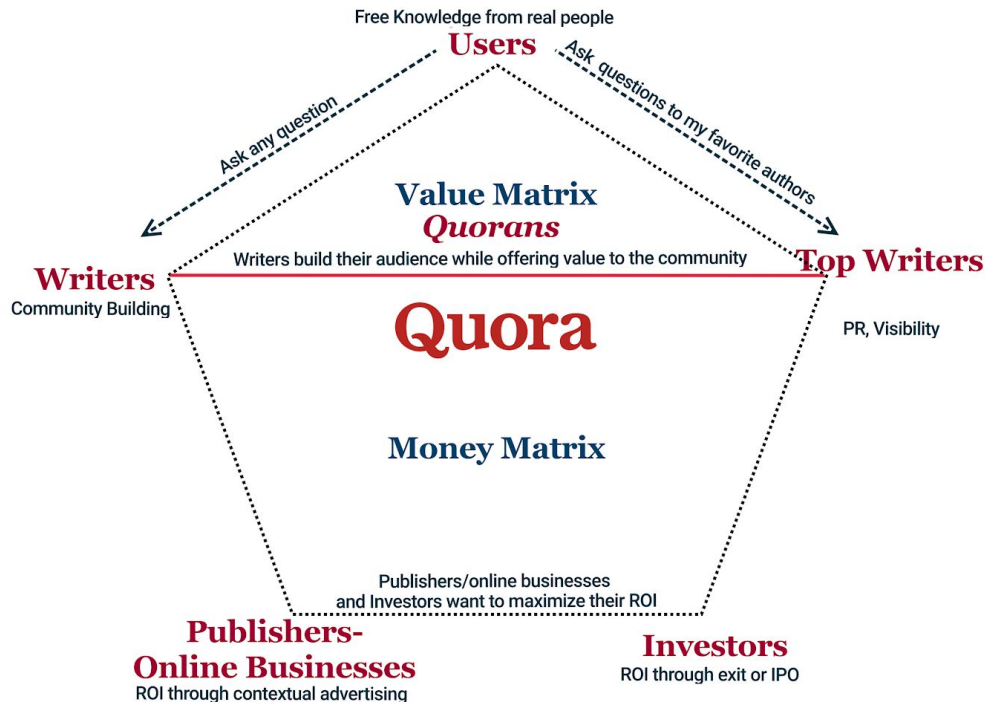


CASE STUDIES









What is Quora?

The most popular "social Q&A"

Quora is a question and answer site which allows anyone to ask anything and get answers from real people. As of now, Quora managed to grow thanks to several rounds of investments from venture capital firms. Among those firms, Founders Funds of Peter Thiel and Y Combinator of Paul Graham. Quora is now experimenting with advertising. Quora has over 190 million of monthly users. It has been able throughout the last decade to build an engaged community. In fact, people on Quora, like to call themselves "Quorans."

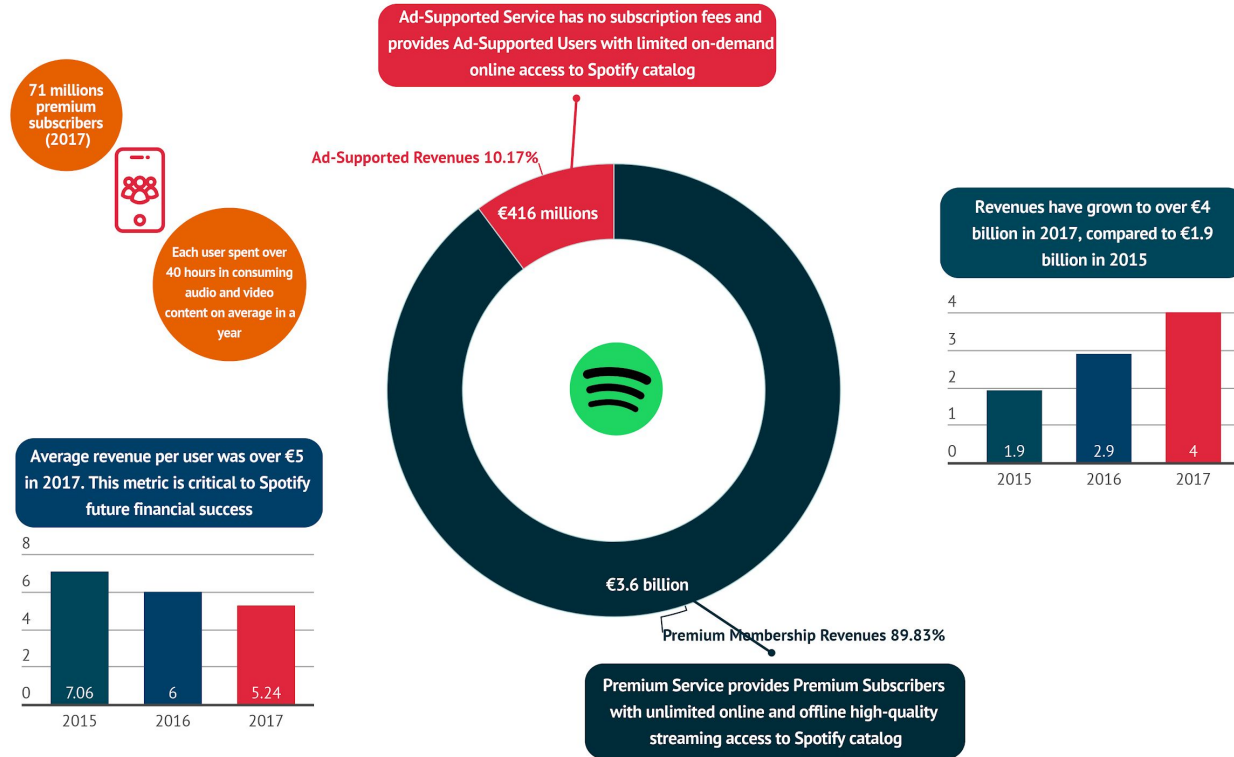
How sticky is Quora?

SimilarWeb Rank		Engagement February - 2018	
last 3 months		last month	
🌐 Global Rank	140	📄 Estimated Visits	491.9M
🇺🇸 In United States	82	🕒 Time On Site	00:02:34
📖 Reference > Dictionaries and Encyclopedias	2	📄 Page Views	2.15
		📈 Bounce Rate	65.79%

Quora is still transitioning and experimenting with monetization. Although it now generates revenues through contextual advertising, it is hard to say whether the company is profitable. Over time the goal will be to substitute the financial resources coming from investors with that coming from publishers and online businesses willing to spend money for contextual advertising.

Spotify Business Model

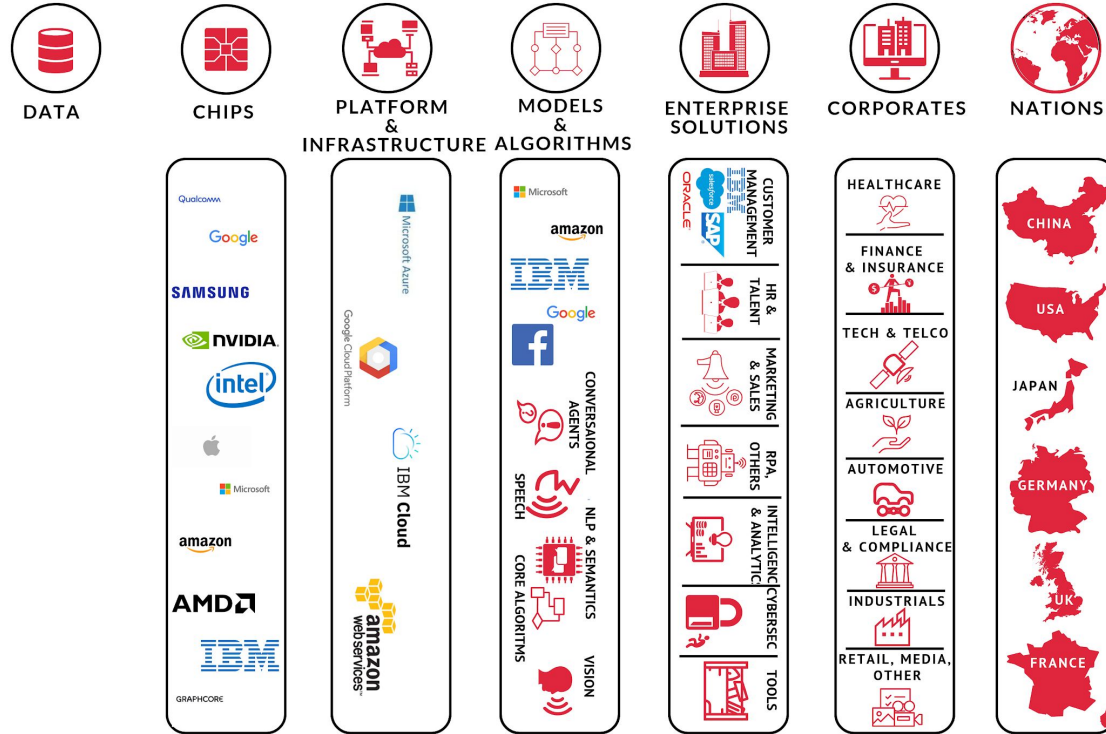
Spotify is a two-sided marketplace where artists and music fans encounter on a single platform. Founded in 2008 with the belief that music should be universally accessible with a seamless experience based on streaming audio and video. It generated over €4 billion in 2017, of which almost 90% based on premium memberships and 10% based on a free service which is ad-supported. The company recorded an operating loss of €378 million in 2017.



WHAT'S NEXT?

Visualizing The AI Multi-Billion Dollars Value Chain

The AI Ecosystem has generated a multi-billion dollar industry, and it all starts from data. Going upward in the value chain there are the Chips (GPUs) that allow the physical storing of Big Data (a dominant player is NVIDIA). That Big Data will need to be stored on platforms and infrastructures that SMEs can't afford. That is where players like Google Cloud, Amazon AWS, IBM Cloud and Microsoft Azure come into rescue. At large scale, a few corporations control the Enterprise AI market; while nations like China, USA, Japan, Germany, UK, and France have widely bet on it!

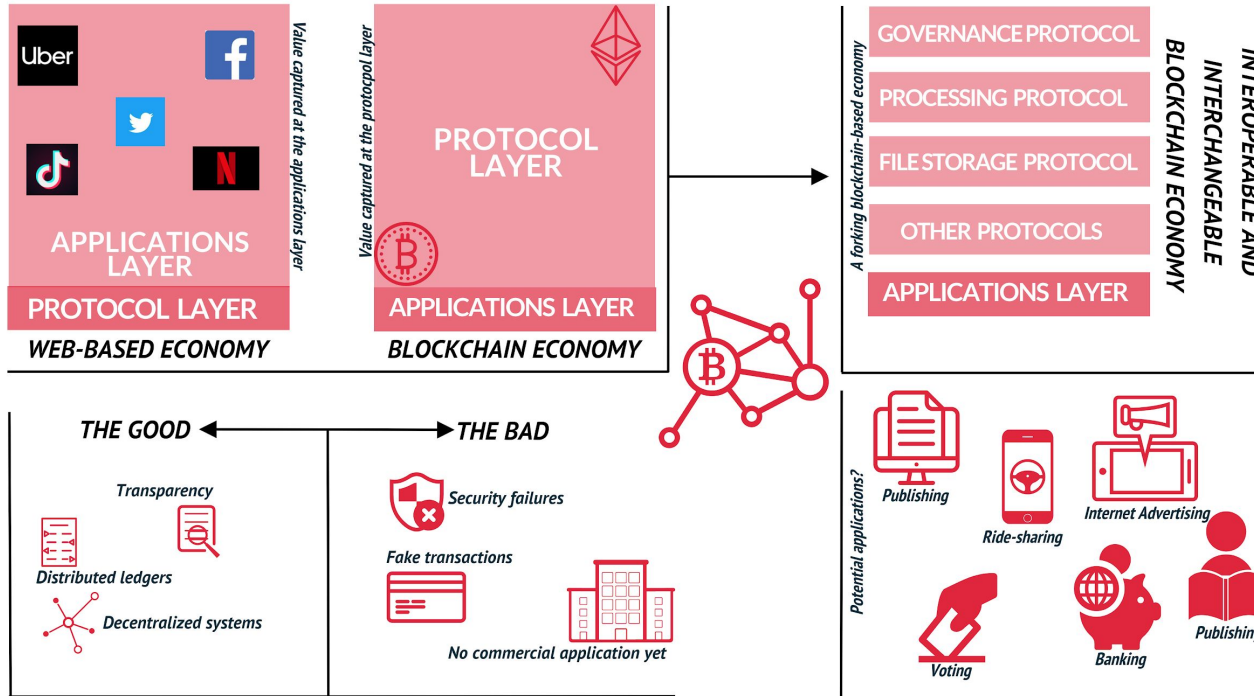




So we are just at the beginning of the beginning, we're in the first hour of all this. We're in the first hour of the Internet. We're in the first hour of what's coming. The most popular AI product in 20 years from now, that everybody uses, has not been invented yet. That means that you're not late, Kevin Kelly, TED Talk, 2017.

Blockchain Economics 101

According to Joel Monegro, a former analyst at USV (a venture capital firm) the blockchain implies value creation in its protocols. Where the web has allowed the value to be captured at the applications layer (take Facebook, Twitter, Google, and many others). In a Blockchain Economy, this value might be captured by the protocols at the base of the blockchain (for instance Bitcoin and Ethereum). However, according to blockchain investor Paivinen due to ease of forking, incentives to compete and improved interoperability and interchangeability also in a blockchain-based economy, protocols might get thinner. Although the marginal value of scale might be lower compared to a web-based economy, where massive scale created an economic advantage. The success of the Blockchain will depend on its commercial viability!





I am excited about the move to crypto based business models supporting decentralized apps for this very reason. I think it opens up the possibility that some very large new companies will be created that innovate largely on entirely new business models, Fred Wilson, AVC, 2019.



CBINSIGHTS

BANKING

As a digitized, secure, and tamper-proof ledger, blockchain could serve the same function, injecting enhanced accuracy and information-sharing into the financial services ecosystem.

”



CBINSIGHTS

HEDGE FUNDS

Backed by names including First Round Capital and Union Square Ventures, Numerai is taking the hedge fund model — employing a bunch of traders and quants — and decentralizing it.

”



CBINSIGHTS

MESSAGING APPS

Telegram is still developing its blockchain-based platform called the TON (Telegram Open Network) that extends Telegram's services into payments, file storage, and censorship-proof browsing for its 200M users.

”



CBINSIGHTS

VOTING

In the future, blockchain tools could serve as a foundational infrastructure for casting, tracking, and counting votes — potentially eliminating the need for recounts by taking voter fraud and foul play off the table.

”

GRAZIE! (THANKS!)

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